

PROMISSORY NOTE

(First Lien)

TERMS

Date: {{NOTE_DATE}} (Loan Date)

Borrower: {{BORROWER_ENTITY}}

Borrower's Mailing Address: {{BORROWER_ADDRESS}}

Lender: Lazy Dog Capital LLC

Place for Payment: 3400 N Central Expy #110-217, Richardson, TX 75080, or any other place that Lender designates in writing

Principal Amount: \${{LOAN_AMOUNT}} (maximum committed; interest accrues only on amounts advanced)

Origination Fee: {{ORIG_PCT}} of the Principal Amount (\${{ORIG_FEE}}) due and payable at closing

Annual Interest Rate: {{INTEREST_RATE}}

Maturity Date: {{MATURITY_DATE}}

Annual Interest Rate on Matured, Unpaid Amounts: {{DEFAULT_RATE}} or the maximum allowed by law

Terms of Payment (Interest Only, with Principal Due at Maturity)

Interest is due and payable in monthly installments, beginning on the 1st day of the month following the Loan Date and continuing until the Maturity Date, at which time all unpaid principal and accrued interest shall be due in full. Interest accrues only on principal actually advanced and is calculated daily on the outstanding balance of the loan on the basis of a 360-day year and charged for the actual number of days elapsed; because a portion of the Principal Amount is a construction holdback disbursed in draws, monthly interest will increase as draws are advanced. If fully advanced, the monthly interest-only payment is approximately \${{MONTHLY_PMT}}. Payments are applied first to accrued interest and the remainder to reduction of the Principal Amount.

Security for Payment

This note is secured by a Deed of Trust of even date from {{BORROWER_ENTITY}} to Robert Roberts, both of which cover the following real property:

{{LEGAL_DESC_1}}

{{LEGAL_DESC_2}}

{{LEGAL_DESC_3}}

(Commonly known as: “{{PROPERTY_ADDRESS}}”).

Other Security for Payment: Personal Guarantee of even date from {{GUARANTOR_NAMES}}, Guarantor(s).

Lien Position

This note and the Deed of Trust securing it are in first lien position on the Property, superior to all other liens and encumbrances except taxes and validly existing exceptions of record. There is no senior lien.

Assignment

Lender may sell, pledge, or collaterally assign this note and the Deed of Trust securing it, in whole or in part, without Borrower's consent. Borrower shall, upon written notice, make payment to Lender or to any assignee or servicer designated in that notice. Any such assignment does not change Borrower's obligations under this note.

Borrower promises to pay to the order of Lender the Principal Amount advanced plus interest at the Annual Interest Rate. This note is payable at the Place for Payment and according to the Terms of Payment. All unpaid amounts are due by the Maturity Date. If any amount is not paid when due under the Terms of Payment or on acceleration of maturity, Borrower promises to pay the unpaid amounts plus interest from the date the payment was due to the date of payment at the Annual Interest Rate on Matured, Unpaid Amounts.

Events of Default

A default exists under this note if any of the following occurs:

1. Borrower, or any other person liable on any part of this note or who grants a lien or security interest on property as security for any part of this note (an "Other Obligated Party"), fails to timely pay or perform any obligation or covenant in any written agreement between Lender and Borrower or any Other Obligated Party;
2. any warranty, covenant, or representation in this note or in any other written agreement between Lender and Borrower or any Other Obligated Party is materially false when made;
3. a receiver is appointed for Borrower, any Other Obligated Party, or any property on which a lien or security interest is created as security (the "Collateral Security") for any part of this note;
4. any Collateral Security is assigned for the benefit of creditors;
5. a bankruptcy or insolvency proceeding is commenced by Borrower, a partnership of which Borrower is a general partner, or an Other Obligated Party;
6. (a) a bankruptcy or insolvency proceeding is commenced against Borrower, a partnership of which Borrower is a general partner, or an Other Obligated Party and (b) the proceeding continues without dismissal for sixty (60) days, the party against whom the proceeding is commenced admits the material allegations of the petition against it, or an order for relief is entered;
7. Borrower, a partnership of which Borrower is a general partner, or an Other Obligated Party is dissolved, begins to wind up its affairs, is authorized to dissolve or wind up its affairs by its governing body or persons, or any event occurs or condition exists that permits the dissolution or winding up of its affairs; or
8. any Collateral Security is impaired by loss, theft, damage, levy and execution, issuance of an official writ or order of seizure, or destruction, unless it is promptly replaced with collateral security of like kind and quality or restored to its former condition.

Default and Acceleration

If Borrower defaults in the payment of this note or in the performance of any obligation in any instrument securing or collateral to this note, Lender may declare the unpaid principal balance, earned interest, and any other amounts owed on the note immediately due. Notwithstanding any other provision of this note, in the event of a default, before exercising any of Lender's remedies under this note or any deed of trust securing or collateral to it, Lender will first give Borrower written notice of default, and Borrower will have ten (10) days after notice is given in which to cure the default. If the default is not cured within ten (10) days after notice, Borrower and each surety, endorser, and guarantor waive, to the extent permitted

by law, all demand for payment, presentation for payment, notice of intention to accelerate maturity, notice of acceleration of maturity, protest, and notice of protest.

Late Charge

If any installment becomes overdue for more than ten (10) days, at Lender's option a late payment charge of {{LATE_CHARGE_PCT}} of the amount of the payment may be charged in order to defray the expense of handling the delinquent payment.

Attorney's Fees

Borrower also promises to pay reasonable attorney's fees and court and other costs if this note is placed in the hands of an attorney to collect or enforce the note. These expenses will bear interest from the date of advance at the Annual Interest Rate on Matured, Unpaid Amounts. Borrower will pay Lender these expenses and interest on demand at the Place for Payment. These expenses and interest will become part of the debt evidenced by this note and will be secured by any security for payment.

Prepayment

Borrower may prepay this note in any amount at any time before the Maturity Date without penalty or premium.

Application of Prepayment

Prepayments will be applied to installments on the last maturing principal, and interest on that prepaid principal will immediately cease to accrue.

Renewal Option

Borrower shall have the option to renew and extend this note one (1) time for an additional period of three (3) months beyond the Maturity Date (the "Renewal Term"), subject to the following conditions: (a) Borrower must not be in default under this note or any instrument securing this note at the time the renewal option is exercised; (b) Borrower must provide written notice to Lender of its election to renew no later than fifteen (15) days prior to the Maturity Date; and (c) Borrower must pay to Lender a renewal fee equal to {{RENEWAL_PCT}} of the original Principal Amount (\${{RENEWAL_FEE}}) on or before the Maturity Date as a condition of the renewal taking effect. Upon satisfaction of all conditions set forth herein, the Maturity Date shall automatically be extended by three (3) months, and all other terms and conditions of this note shall remain in full force and effect during the Renewal Term. This renewal option is personal to Borrower and may not be assigned. No further renewal or extension shall be permitted beyond the Renewal Term without the express written consent of Lender.

Conflict with Deed of Trust

If any provision of this note conflicts with any provision of a loan agreement, deed of trust, or security agreement of the same transaction between Lender and Borrower, the provisions of the deed of trust will govern to the extent of the conflict.

Usury Savings

Interest on the debt evidenced by this note will not exceed the maximum rate or amount of nonusurious interest that may be contracted for, taken, reserved, charged, or received under law. Any interest in excess of that maximum amount will be credited on the Principal Amount or, if the Principal Amount has been paid, refunded. On any acceleration or required or permitted prepayment, any excess interest will be canceled automatically as of the acceleration or prepayment or, if the excess interest has already been paid, credited on the Principal Amount or, if the Principal Amount has been paid, refunded. This provision overrides any conflicting provisions in this note and all other instruments concerning the debt.

General

Each Borrower is responsible for all obligations represented by this note. When the context requires, singular nouns and pronouns include the plural.

Business Purpose

Borrower represents and warrants that the loan evidenced by this note is made solely for business, commercial, investment, or other similar purposes, and is not made for personal, family, or household purposes. Borrower further represents and warrants that the Property is acquired and held for investment and resale and is not, and will not be, occupied, used, or claimed as the residence or business homestead of Borrower or of any principal, member, or manager of Borrower. Borrower acknowledges that Lender is relying on these representations in making this loan, and that these representations survive the closing and funding of the loan.

Governing Law; Credit Reporting

This note will be construed under the laws of the State of Texas, without regard to choice-of-law rules of any jurisdiction. Lender may report information about Borrower's account to credit bureaus. Late payments, missed payments, or other defaults on the account may be reflected in Borrower's credit report.

BORROWER:

Entity: {{BORROWER_ENTITY}}

By: _____

Name: {{SIGNER_NAME}}

Title: {{SIGNER_TITLE}}

Date: _____